V. 21
2025

ISSN 2317-6172

Revista DIREITO GV

FGV DIREITO SP

Recebido: 19.11.2024
Aprovado: 24.06.2025
https://doi.org/10.1590/2317-6172202537

• • •

Editor responsável

Pedro Salomon Bezerra Mouallem (*Editor-chefe*)
TRÊS DECISÕES EDITORIAIS, INCLUINDO A DECISÃO FINAL.

• • •

1 Universidad de Chile, Facultad de Derecho, Santiago de Chile, Providencia Chile
https://orcid.org/0009-0008-3978-1402

The Political Economy of Credit: The Unidad Popular and the Chilean Central Bank (1970-1973)

A ECONOMIA POLÍTICA DO CRÉDITO: A UNIDADE POPULAR E O BANCO CENTRAL DO CHILE (1970-1973)

LA ECONOMÍA POLÍTICA DEL CRÉDITO: LA UNIDAD POPULAR Y EL BANCO CENTRAL DE CHILE (1970-1973)

Paula Ahumada Franco[1]

Abstract
This article analyzes the political economy of credit, drawing on emerging legal scholarship that questions the neoclassical economic view of money as a neutral tool and central banks as institutions in charge of price stability, operating solely on technical grounds. In stark contrast, the experience of Chile's socialist Unidad Popular government (1970-1973) is a case where the attempt to transform the sources of monetary creation and assert public control over credit and the banking system received intense opposition that tested the limits of legality. The Chilean path to socialism envisioned a revolutionary transformation within the framework of the rule of law. Early successes in reshaping the monetary structure—leveraging private law mechanisms such as freedom of contract, private property rights, and the legal powers granted under the presidential system—ultimately precipitated a constitutional crisis, foreshadowing the military coup on September 11, 1973. In revisiting this pivotal period, this paper draws on the insights of the constitutional theory of money that emphasizes its political dimensions and the crucial role of law in shaping the economic and social orders.

Keywords
Law & Political Economy; Central Banks; money and credit; constitutional theory of money.

Resumen
Este artículo analiza la economía política del crédito, apoyándose en la literatura jurídica emergente que cuestiona la perspectiva economicista y neoclásica del dinero como una herramienta neutral y al banco central como la institución responsable de la estabilidad de precios que solo opera bajo criterios técnicos. Por el contrario, la experiencia del gobierno socialista de la Unidad Popular en Chile (1970-1973) es un caso en el que el intento de transformación de las fuentes de creación monetaria buscando el control público sobre el crédito recibió una intensa oposición que puso a prueba los límites de la legalidad. El camino chileno hacia el socialismo pretendía una transformación revolucionaria dentro del marco del Estado de derecho. Los primeros éxitos en cambiar la estructura monetaria—aprovechando mecanismos de derecho privado como la libertad de contratación, el derecho de propiedad privada y las competencias del sistema presidencial—finalmente derivaron en una crisis constitucional, que antecede al golpe militar del 11 de septiembre de 1973. Al revisitar este período, este trabajo sigue el camino de una teoría constitucional del dinero que destaca sus dimensiones políticas y el papel esencial del derecho en la configuración de los órdenes económicos y sociales.

Palabras clave
Derecho y Economía Política; bancos centrales; dinero y crédito; teoría constitucional del dinero.

Como citar este artigo
AHUMADA FRANCO, Paula. The Political Economy of Credit: The Unidad Popular and the Chilean Central Bank (1970-1973). *Revista Direito GV*, São Paulo, v. 21, e2537, 2025. https://doi.org/10.1590/2317-6172202537

Declaração de Disponibilidade de Dados
Não há dados vinculados a este artigo.

Resumo
Este artigo analisa a economia política da governança do crédito, baseando-se na emergente literatura jurídica que desafia a perspectiva econômica neoclássica do dinheiro como uma ferramenta neutra e do Banco Central como instituição responsável pela estabilidade de preços que opera exclusivamente com base em critérios técnicos. Em claro contraste, a experiência do governo socialista da Unidade Popular no Chile (1970-1973) ilustra a intensa oposição às suas tentativas de afirmar o controle público sobre o crédito e o sistema bancário, ações que frequentemente testaram os limites da legalidade. O caminho chileno para o socialismo vislumbrava uma transformação revolucionária dentro do marco do Estado de direito. Os primeiros sucessos na reconfiguração da estrutura monetária – aproveitando mecanismos do direito privado como a liberdade contratual, os direitos de propriedade privada e os poderes legais concedidos pelo sistema presidencial – acabaram por precipitar uma crise constitucional, prenunciando o golpe militar de 11 de setembro de 1973. Ao revisitar este período crucial, este trabalho destaca as dimensões políticas da política monetária e o papel essencial do direito na formação das ordens econômicas e sociais.

Palavras-chave
Direito e Economia Política; bancos centrais; monetário e crédito; teoria constitucional do dinheiro.

Este é um artigo publicado em Acesso Aberto (*Open Acess*), sob a licença *Creative Commons Attribution 4.0 International* (CC BY), que permite copiar e reproduzir o material em qualquer meio ou formato, sem restrições, desde que o trabalho original seja corretamente citado. Autores de textos publicados pela *Revista Direito GV* mantêm os direitos autorais de seus trabalhos.

Introduction[1]

Law and money are essential institutions that help us understand our modern way of life. Even when both are invisible, they make social life possible, and "like the air we breathe," we use them persistently for living. For instance, money grants membership to capitalist societies, while law is the infrastructure for human action and value creation. Interestingly, both institutions are commonly viewed as abstract and neutral devices that enable individuals to define and pursue their interests and goals free from arbitrary interference from others. Neither money nor law claims a distinctive ontology other than being a means to an end, notwithstanding their close connection to political power. Constitutional law defines what constitutes public authority and presupposes that the rule of law acts as a check on political will. Political theorists have long postulated that money constitutes "the blood of the state" (Johnson, 1966; Desan, 2008, 2014). Faced with a political crisis, money markets fluctuate, investment freezes, and the law becomes a field of dispute affecting competitive economies.

Despite money's political and legal core (Eich, 2022), monetary policy has been insulated from democratic will by being delegated to independent central banks (CBI). Inflation, which refers to the increase in the overall price level, was a prevalent issue faced by most economies during the twentieth century and is frequently attributed to the excessive monetization of government debt, a concept that Milton Friedman referred to as the "printing press phenomenon" (Friedman; Friedman, 1990, p. 254; Bernanke, 2003). Thus, since the 1990s, the CBI has become the global standard for good governance, with its primary mandate to maintain price stability, which is essential for market economies (Bodea; Garriga, 2022; Moschella, 2024). Therefore, experts, mostly economists, are now in charge of monetary policy. This institutional transformation overlooks the political nature of money and is dominated by a neoclassical barter-based narrative in which money appears as something exogenous to the market or as a neutral veil under which the real economy takes place.[2]

In this article, I explore the politics of money creation and its institutional governance, drawing inspiration from the emerging legal scholarship that examines the relationship

1 This research was supported by the Chilean National Agency for Research and Development (ANID) through the National Fund for Scientific and Technological Development (FONDECYT Iniciación), grant no. 11230591. The author would like to express her sincere gratitude to Maylline Valencia and Antonio Pino for their invaluable research assistance and editing process, as well as the comments and suggestions of the two anonymous reviewers.

2 This metaphor comes from J.S. Mill and is linked with classical and neoclassical economics account of money —see Dodd (1994)—or as Christine Desan (2013, p. 24) explains the "conventional creation story".

between money and constitutional orders (Desan, 2017, 2024; Feichtner, 2016; Pistor, 2019) and others who work on recovering money's lost relationship with authority and its role as a public good (Ricks, 2018; Feinig, 2022; Monnet, 2024). In this endeavor, I revisit the experience of the Unidad Popular's socialist government (1970-1973) and its policy of controlling credit and the banking system as an example of the inherent relationship between money and the political and legal-constitutional order. The *Chilean Road to Socialism,* as the political experience under the Unidad Popular government was known, promised a structural transformation of the economy while maintaining its commitment to the rule of law and political freedoms, which Chilean society revered as significant accomplishments. In its social revolutionary endeavors, the socialist government had a successful beginning. By the end of the first year of government, not only had the nationalization of copper and the agrarian reform been accomplished, but more than 90% of the banking system was also under state control. Those who believed the Chilean rule of law was "an astonishingly elastic one" (Debray, 1971, p. 44) were proved right by achieving these milestones. Notwithstanding, in the Chilean case, the change in monetary governance, which was necessary to create a new economy, is one of the critical issues that explain the constitutional crisis that preceded the overthrow of Allende's government on September 11, 1973.

The constitutional theory of money provides a theoretical framework to understand the significance of this case study. The Chilean experience in attempting to change the monetary legal arrangements extends beyond geographical borders, primarily because the current understanding of money has devalued its connection to political authority, legal order, and the State. Unlike the narratives for which money is a "thing" external to market relations because it is used only to overcome the inconveniences of barter, for a constitutional theory, money itself is analyzed as a legal construct (Desan, 2013) that becomes "a project collectively engineered and orchestrated to create liquidity" (Kreitner, 2012, p. 424; Moudud, 2018). This change in the approach towards money is revealing of its place as a constitutive element of society. It explains how shifts in the ability to create money influence its mode of governance and the economies that emerge from it, as shown by Christine Desan's work in both England and the United States (Desan, 2013).

I employ historical and legal analysis of primary sources, including constitutional texts, legislation, decrees, and judicial decisions from the relevant period, as well as a secondary literature review on Chile's political and economic history. Qualitative analysis of key legal documents, speeches, and policy debates provides valuable insights into this critical period, revealing how legal mechanisms were employed and contested in the pursuit of this revolutionary change in monetary arrangements.

This article proceeds as follows: section 1 briefly portrays Chile's political economy structure before 1970 to explain the Government's economic strategy for Allende's political project and the place of money and especially credit; section 2 describes the monetary governance of the banking system in place and the institutional role played by key state

agencies such as the Central Bank to change the credit structure and acquire most of the private banking system; Part III explains the legal struggles prompted by the nationalization of the banking system which ultimately precipitated a constitutional crisis, foreshadowing the military coup on September 11, 1973. The tragic ending of this so-called 'socialist experiment' is well known, and there is extensive literature about the period. Still, the lessons in terms of monetary governance, along with the legal aspects of nationalizing the banking system, remain to be duly examined.[3] Revisiting this period, during which the government utilized credit to reimagine the economy, sheds light on the political dimensions of money and highlights the pivotal role of law in shaping social and economic orders.

1. The Political Economy of the Democratic Republic: Fragile Stability and the Promise of Development

The period between the 1930s and 1973 is known as the Democratic or Middle-Class Republic (Ruiz-Tagle, 2021; Rodríguez Weber, 2017) due to the ongoing legal reforms that expanded citizenship and the state-sponsored policies that supported the creation of a nascent middle class under the 1925 Constitution. This constitutional order enshrined a presidential system with a vigorous executive that granted extraordinary powers to the President of the Republic as head of State and Government (Heise, 1996 [1960]; De Vylder, 1976) and a robust political party system. Furthermore, the constitutional framework allowed the State to become an active economic agent and drive productive activities following the ideas of developmentalism (ECLAC) or what is known as "development from within" (Ffrench-Davis, 1973), where the State fostered national industries, not only by private investment aid but also directly by state-owned companies.

The State structure grew steadily during these years, creating new agencies such as the Economic Development Agency (*Corporación de Fomento de la Producción*, CORFO) in 1939, the State Bank of Chile in 1953, the Office for Industry and Commerce (Dirección de Industria y Comercio, DIRINCO) in 1960, the Agrarian Reform Corporation in 1962, the Copper Corporation, and the National Planning Office in 1967. In these productive and redistributive functions, the state's participation in the economy at the time was one of the largest (if not the largest) in Latin America (Bitar, 1979, p. 36). For instance, government

3 A recent study argues from an economic viewpoint that hyperinflation was caused by the economic mismanagement of the government. It covers different policies, dividing the analysis in two: the short-term program and the structural transformations, and in passim refers to the banking system highlighting the fact that it was financed by the Central Bank or by "money printing" and therefore, contributing to the inflationary tendency (Edwards, 2024).

expenditure in 1964 represented 36% of GNP, and by 1970, it had increased to 47%. As the former Director of the National Planning Office during Allende's government Gonzalo Martner describes, the "Chilean State was largely interventionist, regulator, benefactor and investor," controlling 30% of the national product and 75% of national investment before 1970 (Martner, 1984).

Nonetheless, the nation's economic growth was largely contingent upon copper exports, which two United States companies predominantly controlled until their nationalization in 1971. This sector contributed to approximately 75% of the country's foreign exchange (Guardia; Martínez; Ramos, 1979, p. 12). On the other hand, even as an emerging industrial sector developed, it remained strongly dependent on foreign capital (Seers, 1972; Griffith-Jones, 1981, p. 120). By the end of the 1950s, the state-led redistributive economic model was showing signs of slowing down and was under scrutiny, as illustrated in the works of two renowned economists. The first work, written by Jorge Ahumada (1958), an academic and a close adviser to former President Eduardo Frei Montalva (1964-1970), was entitled "Chile's Comprehensive Crisis," which included—but was not limited to—the capitalist economic system. The second work, written by Aníbal Pinto (1959)—a well-known economist, academic, and left-leaning intellectual—, denounced the country's frustrated development, and highlighted the country's clashing features of a robust political system and a feeble economic structure.[4]

During the second half of the 1960s, Chile's GDP grew at an average annual rate of 3.8%, while the rest of Latin America experienced an average growth rate of 5.5%. Between 1967 and 1970, the economic growth fell to 2.8%. National agricultural production was slower than population growth. Spare productive capacity and idle use of resources led to poor economic growth rates, a shortage of essential goods, and a need to import basic goods (Alaluf *et al.*,1972, p. 479). In the case of industrial productive capacity in 1970, an appraisal revealed that more than 25% was underutilized (Griffith-Jones, 1981, p. 122), resulting in higher unemployment.

Following Bitar's study (1979), the Chilean economic system was unresponsive to the workers' redistributive demands. Inflation was a distinctive feature of the economy, and just before Allende took office, between 1965 and 1970, the consumer price index grew at an annual average rate of 26% (Griffith-Jones, 1981, p. 117). Price instability made investments more expensive and riskier, explaining in part their low levels. Private investment operated through a reactive and restricted dynamic, responding positively only to a significant increase in demand for certain products, typically those that met the needs and wants

4 Nowadays, the idea that an internal contradiction between political and economic development deeply stressed the Chilean social order well before Allende's government has become commonplace.

of people who could afford them, but not the demand for essential goods. Instead, surplus revenue financed the consumption of luxury goods and the acquisition of real estate and foreign currency, which do not create any added value (Alaluf *et al.*,1972, p. 479). Therefore, the Chilean capitalist system appeared inefficient and, most importantly, unjust since it was structured to respond to the needs and wants of a small minority of the wealthy.

The clash between a feeble productive system, poor growth, and an organized labor force contributed to increased social conflict, as shown by the spike in the number of strikes during the sixties (see Bitar, 1979, p. 33, 34). Indeed, Hirschman's remarks after visiting Chile during the sixties to study the inflationary problems were foretelling: "If the revolution ever comes to Chile, it will not be without warning" (Hirschman, 1965 [1963], p. 295). The atmosphere at the time—particularly, in the region—was inviting change to come, creating a "pre-revolutionary context" (Lechner, 2013).

The 1970 presidential election occurred during this prevailing zeitgeist. The Unidad Popular's Program—approved by the political parties in December 1969—was based on an extended understanding that Chile's underdevelopment was due to the structural flaws of a capitalist system.[5] Its core purpose was to seek "an end of the imperialist's domination, monopolies, and the landowner's oligarchy" (Programa Basico, 1969, translated). Allende's first Minister for Economic Affairs, Pedro Vuskovic, was one of the leading designers of the Government's Economic Program and explicitly linked the Program and the economic strategy to their assessment of the Chilean economy (Griffith-Jones, 1981, p. 119):

> The principal task in formulating our economic policy is translating the basic lines of Unidad Popular's Program into concrete ways of running the economy. The Program emerged from an analysis of the Chilean experience, that is, of an increasing subordination to foreign economic interests, an increasing concentration in the ownership of the means of production, and therefore, increasing control of basic areas of the economy by powerful and monopolistic national interests, and an increasing concentration of national income in the hands of a few.

As mentioned above, Vuskovic summarizes the complex state of economic and social affairs, identifying the causes of the country's permanent instability and underdevelopment in its international dependency, wealth concentration, and monopolistic structure, all of which were tied together. The monopolistic structure boosted the concentration of wealth and income in the hands of a select few, causing inequalities "like those of a feudal society"

5 This statement was also shared with the centrist Christian Democratic Party, and it is included in R. Tomic's Program as a candidate in 1970 (Bitar, 1979, p. 29).

(Seers, 1972), dividing the country into two: modern Chile, inhabited by less than one-fifth of the population, and the rest (Gil, 1966, p. 312).

Inflation was a widespread feature of the Chilean economy during the twentieth century. Two primary schools of thought on inflation "that crossed their swords in Latin America" (Pinto, 1973, p. 7) emerged: the monetarist orthodoxy, which sees inflation as a question over the quantity of money and its circulation, mainly caused by fiscal and monetary authorities; and the structuralist perspective developed by J. Noyola, O. Sunkel and A. Pinto under the ECLAC's framework of economic thought for Latin America (ECLAC, 2016). The structuralist school views this phenomenon as the clearest symptom of a problem in the economic and political structure: increasing demands from the people, limited stock of essential goods, and low productivity (Pinto, 1973).[6] To tackle this issue, rather than constraining public expenditure and fixing higher interest rates—monetarist remedies—it was about changing the structural foundations of the economic system, such as production. Likewise, the Program explicitly affirmed: "Structural changes resolve the struggle against inflation [...] we will control prices and stop inflation by immediately *setting up the new economic structure*" (Griffith-Jones, 1981, p. 123, emphasis added).

The program proposal included a 'new economy' restructured into three areas: social (state) property, privately owned, and mixed property. The Unidad Popular considered it possible to restructure the economy under the legal principles framed by the liberal Constitution of 1925. The *Chilean Road to Socialism's* uniqueness lay precisely in its confidence that a revolutionary change was possible under the country's legal structure and its commitment to the rule of law and political freedoms, which the Chilean society revered as significant accomplishments (De Vylder, 1976, p. 36; Bitar, 1979, p. 56). Hence, during the thousand days of the socialist experience, the political forces translated their battles into legal arguments that tested the limits of the law and burdened the principles of legality.

2. Reimagining the Economy and the Control of Credit through Law

In mainstream economic theories, the primary function of money is to enable market exchange. Money mediates between production and the market without interfering with the real economy, including production and employment. In this way, money becomes a neutral veil because it is the product, not the source, of market relations. This neutrality underpins the quantity theory of money, which holds that changes in the circulation of money have a

6 Interestingly, Moss' critical study points out that the majority of the "new class of Marxist technocrats" that occupied the main economic positions in Allende's government had worked for the ECLAC (Moss, 1973, p. 52) which is known for its studies in dependency and structuralism.

proportional effect on prices but none on the real economy (Lucas, 1996). In contrast, the Unidad Popular considered the banking system of particular concern due to its power to create money through credit. Reversing the logic of money as a neutral veil, access to credit was a crucial element in stimulating production and fostering development. In fact, using credit as a tool of monetary policy was a common practice even before 1970. Still, as documented by Mamalakis (1976, p. 110), it became the "pivotal instrument in irreversibly changing the ownership pattern in favor of the state by providing CORFO with the financial resources required to transfer ownership to the government".[7]

During most of the Democratic Republic, money is intertwined with social relations of credit and debt, some of which are backed by the state and others promoted by the government, essentially comprising an endogenous process. Its political power was hidden behind the banking system, which increased wealth concentration and hindered economic growth. The corporate governance of private banks reveals precisely the power of elites in controlling money and credit, since the same individuals who controlled large companies were on the banking boards and governing bodies (Leiva; Gutiérrez, 1971). For instance, the Matte group—one of the oldest and most influential economic groups to date—owned *Banco Sudamericano*, and directors of *Banco de Chile*, the leading private bank, were also members of other boards of directors in various corporations (Collyer; Sinay, 1971, p. 580).

By 1970, the banking system landscape included the State Bank (*Banco del Estado*), established in 1953, twenty-one private commercial banks (eleven of which were regional), and five foreign banks. The Central Bank, founded in 1925, had a mixed capital structure, as reflected in its governing board composition. The banking system was under the supervision of the Bank Superintendence (*Superintendencia de Bancos,* hereinafter SB) (Inostroza, 1979, p. 276). Despite the number of existing banks, this ownership structure had become a specific economic problem (Inostroza, 1979, p. 279), primarily due to credit concentration. A study mentions a telling number: in 1969, 1.3% of debtors received around half of the credits from the banking sector (Griffith-Jones, 1981, p. 120). Another study shows that in 1971, 116 corporations —corresponding to 0.005% of the total— received 84% of the credit from the banking system, while the rest (33,000 corporations) received only 16% of the credit (Leiva; Gutiérrez, 1971). The corporate governance of private banking favored its own companies through credit allocation. Then, the same private capital, both foreign and national, controlled the financial and productive sectors. Under

7 CORFO is an institution created in 1939 to promote industrial planning, financing, and development; as a state agency under the Ministry of Economic Affairs (Law Nº 6.640, DFL Nº 211/1960 [Chile, 1960a]), it had the authority to grant loans, financial assistance, and productive and commercialization activities.

such an economic landscape, banks act not as neutral intermediaries between savings and investments but as power hubs within the economic structure.

To recover control over the process of the domestic creation of money and sever the ties between financial power and monopolistic companies, the "financial system, in particular, the private banks and the insurance companies" (Programa Basico, 1969, translated) should be included as part of the social (state) area of the economy (hereinafter 'APS'). "Only by putting the Banks in the hands of the People—throughout the Government which represents their interests—is it possible to accomplish our Program," President Allende declared when announcing the plan to the country (Allende, 1970).

Nevertheless, it was more than just a problem that a change in ownership could solve. It required an institutional framework to manage monetary policy effectively and stimulate development. Therefore, the plan was even more ambitious and included not only the transfer of the banking sector to the APS of the economy but also intended to restructure the entire banking system under a three-bank formula to rationalize credit allocation targeting specific productive sectors. The Central Bank would oversee financing foreign commercial exchanges and manage credit to large state corporations. Credit to agriculture, long-term debts, and savings would be under the State Bank (*Banco del Estado*). Finally, private banks that had become state-owned or controlled banks would merge into the National Bank of Chile (*Banco Nacional de Chile*), which would be responsible for providing short-term loans for industry and business (Von Brunn, 1972). Alfonso Inostroza, former President of the Chilean Central Bank during the Allende government, explains in detail the different reforms that the plan involved. In the case of the Central Bank, for example, it included a new Monetary Group appointed by the Government with broader powers to formulate and execute its monetary policy, mainly for financing the area of social property and APS, and managing the country's foreign debt (Inostroza, 1979).

This institutional aspect of the banking policy plan was never implemented, despite the government's success in acquiring most national and foreign private banks. Managing money and credit was crucial for short-term economic policies designed to enhance the population's purchasing power, on the assumption that such measures would not lead to inflation, as prices were considered relatively stable or cost-determined (Griffith-Jones, 1981, p. 130). Instead, the goal was to stimulate an increase in productive output, and therefore, the control and assignment of credit played a significant role.[8]

The Unidad Popular government had a successful first year. Not only had the nationalization of copper and agrarian reform been accomplished, but most of the banks were under

8 For a critical assessment of the short-term economic policy, in particular highlighting the deficit of its "kaleckian" approach, see Griffith-Jones (1981).

state control by the end of 1971. Allende's speech to celebrate his first anniversary addressed the Government's impressive achievements, which went far beyond increasing production to a genuine attempt at changing the whole property structure: "We control more than 90% of the private banking system; sixteen banks, the most powerful ones such as *Español*, *Sudamericano*, *Crédito e Inversiones*, and *Banco de Chile*, have become Chilean assets of the people. More than seventy strategic companies have been seized, taken over, or become state-owned corporations. *We are now owners*".

To the surprise of many, the country faced radical economic and property structure changes without hampering political rights or contravening the existing legal order. The right to private property granted by the Constitution of 1925 declared that the State could deprive no one of its ownership "but by a general or special law authorizing expropriation for reasons of public utility or in the social interest, as qualified by the legislator" (Chile, 1925, Article 10). Therefore, Congress's approval was required to pursue expropriation measures. Nonetheless, the Executive only pursued the legislative path for the nationalization of copper, which Congress approved unanimously in 1971 through Law Nº 17.450 (Chile, 1971). Besides constitutional law, the government employed other legal strategies to implement the ambitious Program and establish the APS.[9] Administrative law paved the way for the confiscation of strategic private companies for the country's development. First, an old regulation, DL (Decree) Nº 520 of 1932 (Chile, 1932), was enforced for companies designed to produce and distribute essential goods. In addition, alternative processes of requisition or intervention allowed the State to control the management of those companies through a presidential order known as a 'resuming operations' decree (under Law Nº 12.927, Article 38 [Chile, 1958]). Private law institutions, such as property and freedom of contract, were the vehicle for the direct acquisition of property by purchasing shares and rights directly by the State, for example, in the case of banking. Political debate and legal discussions contesting this policy flooded the public sphere—newspapers, radio, and political speeches–as expected in any democratic system.

A few weeks after Allende assumed office, the President announced to the nation through radio and television the plan to implement a new banking and credit policy. On December 30, 1970, he explained the two principles inspiring this policy reform: the democratization of credit to extend its access to small and medium-sized businesses and its decentralization from the Santiago capital.[10] Furthermore, along with the offering of a

9 For a detailed description of the legal instruments used, see Von Brunn (1972) and Novoa Monreal (1978).

10 "A strong redistribution of credit will be promoted, making it easily and quickly accessible to sectors that banking institutions have so far neglected. Its decentralization will be promoted so that regions and provinces have greater resources and a higher capacity for decision-making in their own areas. It is worth

public acquisition of shares, he anticipated the government's intention to submit a bill for the nationalization of the banking system:

> The Government offers to purchase private bank shares from Monday, January 11, to January 31st.
> The State Bank and its branches throughout the country will make the option according to the following conditions:
> The shares will be valued *at the average price traded on the Stock Exchange during the first half of this year*. This procedure is similar to the one used for paying property taxes. It is worth noting that *the Banking Nationalization Bill will consider a lower price*.
> [...] The Government's offer is for the entirety *of each shareholder's shares,* not for a part of them.
> Notwithstanding the above offer, and to safeguard the country's interests from now on, the Superintendence of Banks will appoint inspectors in each institution (Allende, 1970, translated).

The message was clear: if you do not sell to the State within this period, we will confiscate your shares under worse conditions. The blatant seriousness of the plan meant that, in the meantime, all banks would be under scrutiny by the SB.[11] The opposition publicly condemned this share purchase program, framing it as a deliberate political strategy to restrict financing for right-wing political parties and the independent press. Moreover, they considered the entire buying procedure a blackmailing scheme in which the threat of confiscation "was enough to panic many shareholders into selling out" (Moss, 1973, p. 64). Still, there was no way to prevent shareholders from exercising their property rights and using their freedom of contract—especially when the prices offered were convenient, and the alternatives were liquidation or keeping worthless stocks (De Vylder, 1976, p. 158).

Indeed, the government's offer was a good deal: after Allende's election, there had been a depreciation of share value, and thus, the average price estimation would use the period when the price was higher. Likewise, the terms were beneficial regarding the payment date compared to those under the said nationalization bill. The structure of the purchase established a ceiling of 10,000 *escudos* in shares value, to be paid in "Adjustable Savings Certificates" issued by the Central Bank to all holders, that could cash them at

noting that as of September 30th of this year, seventy percent of the credit was placed in Santiago" (Allende, 1970, translated).

11 Following the announcement, sixty state officers from the Superintendencia were appointed to supervise all bank activities (El Siglo, 1971).

demand;[12] the following segment between 10,000 *escudos* and up to 50,000 *escudos* would receive 40,000 in Adjustable Savings Certificates, which could be cashed two years after the operation. Finally, those who hold more than 50,000 *escudos* in bank shares would be paid over seven years at 5% annual interest instead of the fifteen years included in the bill.

The buying procedure involved three major executive agencies: CORFO,[13] the State Bank of Chile, and the Central Bank. The latter controlled the entire process, provided a specific line of credit to cover the purchase, and played a leading role in this new banking structure (Inostroza, 1979, p. 295). Following its broad mandate to foster the country's economic development, at the time the Central Bank acted more as a development bank under an extensive view of monetary policy that legally included the management of credit: "to promote the orderly and progressive development of the national economy and credit, while avoiding inflationary or depressive tendencies, to allow the best use of the country's productive resources" (Chile, 1953, translated).[14]

Almost two weeks after the President's announcement, the Central Bank's Board discussed the loan request from CORFO and approved it by a majority vote, with two directors (Bulnes and Vinagre) voting against it, and two others abstained (Barahona and Yarur). Then, CORFO's Administrative Council[15] issued an order to the State Bank of Chile, the state-owned bank, to purchase shares from private banks willing to sell under the favorable

12 The Adjustable Savings Certificates (*Certificados de Ahorro Reajustables*, CAR) were credit titles issued by the Central Bank of Chile, by virtue of Article 37 j) DFL Nº 247/1960 (Chile, 1960b). According to Inostroza (1979, 288), these instruments had "exceptionally attractive conditions for private investors", such as "a 7% interest rate, biannual payment of interest and principal readjustability of both according to the annual variation in the Consumer Price Index (CPI), exemptions from tax on their interest and readjustments and the possibility of immediately reselling the certificate to the Central Bank".

13 Article 25 (Law Nº 6.640/1941 [Chile, 1941], DFL Nº 211/1960 [Chile, 1960a]) detailed the Council's attributions, which included "[t]o carry out, in accordance with the results referred to in the studies of the previous paragraph, production or trade trials on the scale and with the aids deemed convenient"; "[t]o assist in the manufacture in the country or the importation of machinery and other elements for production"; "Propose and assist the adoption of measures designed to increase the consumption of national products or to obtain a greater participation of Chilean interests in industrial and commercial activities"; "To study the means of general financing of the plan for the promotion of production or of, particular financing of the different works contemplated therein and to grant loans in the manner indicated in Articles 29 and 30". The legality of these broad faculties was upheld by the General Comptroller.

14 Article 2 of the second Organic Law of the Central Bank of Chile, DFL Nº 106, published on July 28, 1953 (Chile, 1953). This new law gave the Bank a monopoly on banknotes and coins. In addition to establishing its autonomy and indefinite duration, this law formalized what the Bank was already doing de facto, declaring that its purpose was to promote development.

15 By 1971, the Administrative Council was composed of 30 members; 21 of them represented the public sector and nine other private interests. Pedro Vuskovic, Allende's Minister of Economy, presided, as well

conditions set by the government. CORFO's council ratified the decision by a majority, as five of its 21 members (representatives from the National Society of Agriculture, the Industrial Development Society, the Institute of Engineers of Chile, the Chilean Chamber of Commerce, and the Association of Exporters) voted against it (El Mercurio, 1971a). The Central Bank, as the leading institution, initiated an advertising campaign to encourage the purchasing of shares, which the General Comptroller validated and issued a legal opinion confirming the campaign remained within its capacities (La Tercera de La Hora, 1971).

In terms of effectiveness, the strategy was successful. By the end of 1971, the State controlled most of the national commercial banks, held 47% of the shares in Banco de Chile (the leading private bank), and had management operations under the *Superintendencia's* control in many others (Inostroza, 1979, p. 289). Regarding foreign banks, they independently negotiated with the government and reached separate agreements. One of the critical issues in those negotiations was the maintenance of credit lines, which was agreed upon by European banks but rejected in most cases by U.S. banks (Inostroza, 1979, p. 291). Most agreements shared commonalities, such as previous auditing under a team organized by the SB and Central Bank, payments within five to seven years, a maximum interest of 6%, and jurisdiction set under Chilean courts. The exception was the Bank of Brazil, a state-owned bank with extensive transactions in Chile and with the State Bank. Due to the country's strategic importance to Chile's commercial interests, the government decided to grant a special statute to the Bank of Brazil, facilitating commercial exchange with this country (Inostroza, 1979, p. 290). Overall, the government's compensation cost was around USD $16 million (Inostroza, 1979, p. 291).

The rapid progress achieved by the government in acquiring the banking shares made the bill to Congress unnecessary. The chosen strategy to circumvent Congress's approval was due to political calculations, since the Unidad Popular did not have a majority in the chambers (Inostroza, 1979, p. 286), but also for economic reasons. As a study shows, the credit available during 1971 was unprecedented, with an increase of 123.5% compared to the previous year, and the primary agent of this credit expansion was the Central Bank (Cossio, 1972, p. 295). The economic data available for 1971 may have supported the theory.

• • •

as other Undersecretaries (e.g., Economy, Transportation, Mining, Agriculture), the President of the Central Bank at the time, Alfonso Inostroza, and the President of the State Bank of Chile, Alban Lataste. On the other hand, the Executive Committee was composed of the following members: Vice-President, Kurt Dreckmann L.; General Manager of Corporation for Development, Dario Pávez B.; Vice-President of the Corporation for Agrarian Reform, David Baytelman; Vice-President of the Agricultural Development Institute, Adrián Vásquez; Undersecretary of Agriculture, Eduardo Montenegro A.; Agricultural Manager of the Corporation for Development, Francisco González; President of the State Bank, Albán Lataste; Executive Director of the SAG, Juan Diemer J. Other representatives were in the process of being appointed (Farmers, Agricultural Societies and Agricultural Cooperatives).

As De Vylder (1976, p. 77) eloquently describes, the results of the first year of government were 'spectacular': an increase in real wages, consumption levels, and other social indicators. Even with its success, the buying procedure of shares opened the gates to legal contestation that undermined the legitimacy of the policy. Highlighting this fact, the leading newspaper, *El Mercurio* (1971b), in its editorial of Allende's first year in government, critically reminded that the coalition in government acted as if most of the electorate supported it.

3. Legality under Stress: The Institutional Struggles on the Road to the Coup

Under a constitutional theory of money, this institution that mobilizes value within societies is legally defined. However, this period also highlights the constraints on redesigning its governance. In fact, due to the connection among money, power, politics, and the economy, changes in monetary governance by the legal system itself may contribute to producing uncertainty in Keynesian terms and affect the intended economic outcomes (Moudud, 2018). The literature of the period, particularly among left-leaning intellectuals, often overlooked the importance of legality for the Chilean socialist revolution (Lechner, 1972). A notable exception is Allende's leading legal advisor and Head of the *Consejo de Defensa del Estado,* Eduardo Novoa Monreal, who served as the government's legal mind. Like many others at the time, he believed that by winning the presidential election, the instrumental character of the law could pave the way for a socialist society and economy and, at least initially, that the Program was feasible under the existing constitutional order as it entrenched a robust presidential system that granted the Executive more powers and capacities than Congress.[16]

Having in mind how the political system worked at the time, the size of the state apparatus, and the bureaucracy already in place for planning and managing the economy, it was not implausible to have faith in the flexibility of legality or in the possibility of an "evolving revolution" that uses the law to accomplish social change (Von Brunn, 1972, p. 53). As Rodríguez Elizondo, the Head of the Legal Department at CORFO, wrote back in 1971, the successful banking process demonstrated "the plasticity of the Chilean legal framework" (Rodríguez Elizondo, 1971). Régis Debray, a French philosopher and journalist, observed

16 "The UP [Unidad Popular] is committed to the legality principle because the Chilean constitutional and legal systems are flexible…Moreover, under the Constitution, the Executive has more powers and capacities than Congress" (Novoa Monreal, 1970). Novoa was known for his harsh critique of what he considered a class-based justice system, in particular the jurisprudence of the Supreme Court, but still had confidence that law could be used to accomplish the Program.

the Chilean experience firsthand and shared a similar evaluation. By 1971, he noted that the progress made "would not have been possible had not the rule of law proved to be more malleable than expected [...] it is a corset, of course, but an astonishingly elastic one" (Debray, 1971, p. 48).

The "*Via Chilena al Socialismo,*" challenged the common belief that a *legal revolution* is an oxymoron. And yet, the radical transformation in the sources of money creation from 1970 to 1971 tested the limits of the legal corset, in Debray's words. The legal and constitutional order became the primary battleground for advancing the creation of a new economic order. A genuine lawfare was displayed during the thousand years of the Unidad Popular. History teaches us how this ended and confirms that the elasticity of the rule of law is not boundless. Tragically, in this case, the corset fell apart and was shattered by the military coup. Nevertheless, before its demise, the legal struggle spearheaded by Allende's banking plan was on every institutional front: the Congress, the Supreme Court, the Council for the Defense of the State (*Consejo de Defensa del Estado or CDE), the* General Comptroller's Office, the Antitrust Commission, and finally, the Constitutional Court. The fact that Allende never filed the promised bills sowed distrust among the opposition, particularly the Christian Democratic Party (see Arriagada, 1974, p. 140).

Immediately after the President's announcement to the nation, Deputy Marino Penna Miranda of the Christian Democratic Party filed a request before the Comptroller's Office to assess the legality of the purchase of bank shares. He based his complaint on the legal authority of CORFO's Vice President to issue a mandate to the State Bank of Chile for buying the shares since, in his view, such authority properly resided with the board, rendering the mandate null and the purchases void. In this case, the Comptroller's Office issued a report on February 26, 1971, indicating that the Vice President had indeed exceeded his authority. However, the act could be validated, as the Council had done it on January 18 of the same year. Therefore, all of CORFO's actions for acquiring banking shares were valid under Chilean law.

The Chamber of Deputies appointed a special commission to investigate the transaction of bank shares involving state agencies on January 26, 1971. Waldo Ortúzar, the head prosecutor of the Antitrust Commission, was invited to submit his views on the matter. In his opinion, antitrust regulations applied not only to private institutions but also to public ones; the Antitrust Commission had jurisdiction to review the legality of these state actions, and under Article 173 of Law Nº 13.305 (Chile, 1959), the actions of CORFO were deemed illegal since only by passing a law could a state monopoly be considered legal.[17]

17 "Only by law may the monopoly of certain industrial or commercial activities be reserved for fiscal institutions, semi-fiscal entities, publicly administered autonomous organizations, or municipal bodies" (Chile, 1959, translated).

His opinion on the matter had a significant influence as the special commission referenced it, along with the constitutional impeachment filed by the right-wing National Party against the Minister of the Economy, Pedro Vuskovic, for his role in the nationalization of banks (El Mercurio, 1971c).[18] The special commission concluded that the procedure for buying banking shares violated antitrust regulations, with a vote of 11 in favor and two against (see Agüero, 2022, p. 63). Furthermore, its report indicated that the matter had to be regulated by law, defined specific actions put forth by the Central Bank as illegal (such as the advertisement campaign already validated by the General Comptroller), and contested the price offered by the government because it doubled the current price per share (see El Mercurio, 1971a).

Afterward, a group of deputies and other shareholders of Banco de Chile separately requested that the Antitrust Commission analyze whether the nationalization of the banking sector constitutes a breach of antitrust regulations (specifically those outlined in Law N° 13.305, Title V [Chile, 1959]). In this dispute, the CDE defended the legality of the state's acquisition, arguing that the Antitrust Commission lacked jurisdiction to review the government's actions, a position also upheld by the Antitrust Commission. The legal dispute reached the Supreme Court, which overruled the decision by reversing its own previous jurisprudence–maintaining that the actions of the executive branch could not be subjected to judicial review for violating the principle of separation of powers–and ordered the subject to be thoroughly reviewed and decided by the Antitrust Commission (Agüero, 2022, p. 64).

However, the main dispute arose between the Executive and Legislative branches of government. Indeed, since the government had failed to file a bill to Congress, lawmakers from the Christian Democracy Party, Juan Hamilton and Renán Fuentealba, proposed a constitutional reform initiative to establish the promised three areas of the economy, and to regulate the creation of the social (state) sector. This bill started by explicitly supporting the government's goal to incorporate those industries and services of strategic importance or those with significant concentrations of power into state ownership or under state management. Nonetheless, it conveyed disapproval regarding the Unidad Popular's legal strategies. They believed that the process ought to involve Congress by passing a law that would "allow the people—through their representatives in the Chamber of Deputies and the Senate, or, in the event of a disagreement between the Parliament and the Executive, directly through a plebiscite—to resolve this matter" (Fuentealba; Hamilton, 1971, translated) The bill included amendments to Article 10, No. 10, which regulates property as a constitutional

18 Around twenty impeachments were filed against ministers and public officers of the Unidad Popular Government.

right, and Article 44 of the Constitution, which identifies the issues that should be a matter of law. It defined the areas of the economy and explicitly declared which strategic economic activities would fall under state control, excluding the banks. Furthermore, it stipulated that a particular law should authorize the transfer of any company from the private to the social sector; outlined provisions for workers' participation in corporate governance; repealed DL Nº 520/1932, and included a transitional provision that declared null and void all acts and contracts executed by the state for the acquisition of rights and shares in private companies, as from the date when the bill was submitted, that is, October 14, 1971. Indeed, the proposed legislation placed the government in a difficult position; without a majority in Congress, if approved, the choice was untenable: either abandon achieving the Program or act outside the law.[19]

In the lead-up to Congress's approval of the bill on February 19, 1972, several lawmakers asserted a strategy designed to compel the government to hold a referendum in order to move forward with its Program. The constitutional framework granted the President the authority to oppose a bill or constitutional reform approved by Congress. In the case of a law, he could veto the entire initiative or part of it, or propose supplementary provisions for the bill through additive vetoes. Under these circumstances, Congress would need two-thirds of the votes to surpass presidential authority. Despite this, the opposition maintained that the two-thirds quorum did not apply to cases of constitutional reform, arguing that a simple majority could surpass the veto. Therefore, the only way left to resolve this dispute was through a referendum.

Just two days after Congress ratified the bill by majority vote,[20] President Allende publicly asserted that he would exercise his presidential powers to submit both suppressive and additive vetoes within the limits of those powers. The President of the Christian Democratic Party, and one of the two drafters of the bill, Mr. Renán Fuentealba, expressed his surprise at the President's announcement. In alignment with the theory anticipated by the opposition, in his view there were no other options but to approve the bill as it was or to call for a plebiscite: "on this matter of constitutional reform, it is only applicable the Congress' majority or the plebiscite… the Constitution grants no jurisdiction to the Constitutional Court on this matter" (El Mercurio, 1972b).

19 As a matter of fact, five days after Hamilton-Fuentealba submitted their proposal, the Executive also submitted a legal reform on the same matter (but not a constitutional reform proposal) in which it declared that corporations valued at less than 14 million escudos would remain in the private area of the economy.

20 The reform to the property right (Article 10, Nº 10) was approved by the 136 attending members, and the one that declared the nullity of state actions after October 14th, 1971, was approved by 103 votes and 33 votes against it (El Mercurio, 1972a).

Despite Fuentealba's opinion, the President submitted the vetoes to Congress on April 6, 1972. The government's remarks regarding three specific clauses of the bill are of critical significance. Firstly, they proposed adding a list detailing the corporations the Executive intended to nationalize. Secondly, the banking sector, which was excluded from the bill, was unambiguously included within the social area of the economy. Lastly, the government issued a suppressive veto of the transitory Article, which invalidated the State's acquisition of banking shares. In Allende's opinion, without the veto, the bill would effectively undermine the Executive's legal authority. Consequently, he asserted that: "the Government cannot accept that the legality of its actions is called into question, and that those actions are to be retroactively annulled" (Observaciones del Ejecutivo, 1972, translated).

The clash of powers was unavoidable. Not surprisingly, Congress rejected the Executive's veto by a majority and sent the bill for its enactment. For the Executive, Parliament could only override the President's vetoes to maintain its original proposal with a two-thirds majority vote of its members. Otherwise, President Allende cautioned that he would "once again petition the Constitutional Court to ensure that Congress properly applies the provisions outlined in our Fundamental Charter" (Bruna Contreras, 2014, translated). Opposition lawmakers considered this to be an assault on the very essence of the constitutional system. In their view, the President had only two choices: either to approve the bill as ratified by the Full Congress or to call for a referendum, an additional mechanism for resolving interpretive conflicts among political branches incorporated by the 1970 constitutional reform. Senator Hamilton, for example, accused the government of adopting a stance that was "twice unconstitutional because it appeals to an incompetent Tribunal and proceeds from a partial enactment of the constitutional reform bill; it is undemocratic, depriving the people, the bearers of power and the solution, of the opportunity to express themselves regarding the divergences between the Executive and the Congress, effectively replacing the will of millions of Chileans with that of a Court that represents the President of the Republic" (Revista de Derecho Público, 1972, translated).

The last legal venue to witness the dispute was the recently inaugurated Constitutional Court. President Allende filed a claim before the Constitutional Court on May 12, 1973, just a few months before the coup d'état. He argued that Congress had violated the Constitution by submitting the approved constitutional reform bill to the Executive despite requiring the concurrence of both Chambers and two-thirds of the Senators' or Deputies' votes to override the President's veto (Articles 108 and 54, paragraph 2) (Cruz-Coke Ossa, 1972). In turn, Congress questioned the Constitutional Court's jurisdiction to address the matter, arguing that the Court could only review issues related to the lawmaking process, not constitutional reforms. In their opinion, the Constitution differs from ordinary law because "[the Constitution] is bounded by natural law and by the principles of legitimacy enshrined and accepted by civilization" (Cruz-Coke Ossa, 1972, translated). Furthermore, they declared that if the Constitutional Court were to consider itself competent to adjudicate on

the matter, according to Article 4 of the Constitution, "its ruling is null and void, and no one is legally obligated to comply with it" (Lagos Matus, 2014, translated). This open and public dissent from a group of lawmakers against the authority of the Constitutional Court constituted an unprecedented and alarming event for a nation that takes pride in its commitment to legality and the rule of law. However, in retrospect, it could only signify the profound institutional crisis the country was experiencing.

By the end of May 1973, the Constitutional Court asserted itself as incompetent to decide the conflict. The majority opinion, delivered on May 31st of that year, was cast by the ministers appointed by the Supreme Court, Retamal and Bórquez, along with Silva Cimma, who included a concurring opinion. Minister Jacobo Schaulson, appointed by the government, advocated for declaring the request inadmissible rather than incompetent, in order to keep open the possibility of dialogue among the political branches and a future adjudication by the Court. Finally, Minister Veloso, also appointed by the government, delivered the dissenting vote that defended the Constitutional Court's jurisdiction to adjudicate the matter. The Court's 'decision not to decide' was the prelude to the September 1973 institutional breakdown.

Conclusion

The Chilean case of the early 1970s and its attempt to change the monetary legal system in place defy the current understanding of what money is and how it works. Unlike the narratives for which money is a "thing" external to market relations, the Chilean experience is a reminder of the contested nature of money, the power behind credit allocation, and its constitutive role in social orders.

The Unidad Popular's economic policymaking is pivotal to grasping the bonds between the banking system, law, and power. Like the constitutional theory of money entails, shifts in the ability to create money influence its mode of governance and the economies that emerge from it. Much as the market is better understood as a socially embedded institution rather than an autonomous or natural order, money too is a product of a distinctive mode of governance that, in the words of Desan (2016, p. 21), "can be structured in ways democratic or dictatorial. For good or ill, it is designed by those using it. Likewise, it is susceptible to redesign that changes the way it circulates and the exchange it enables". In this case, the democratization of credit and its decentralization from Santiago, the capital city, were necessary to create a new economy that would tackle the country's underdevelopment and inflationary problems. The legal disputes and contestation sparked by this restructuring of credit and banking are untenable under the notion that monetary policy is neutral or that credit allocation is a purely technical matter with no winners or losers.

In his book about the political theory of money, Eich (2022) claims that we are in a "monetary interregnum" in which the model of a depoliticized government of money is

dead, but an alternative has not yet emerged. Drawing inspiration from the constitutional theory of money, this article examines a historical experience of transformation in the sources of money creation that is promising in terms of recovering a different collective project through which value is assigned and produced, while also presenting the challenges the Chilean experience encountered in its attempt at grounding a socialist economy. In this sense, the seeds of a constitutional theory of money may be found in the writings of Novoa Monreal and his legal analysis. Just a year after Allende took office, he published an article entitled "The Difficult Path of Legality," in which he highlighted the complexities of the legal order and the open hostilities faced by the government. He denounced the "opposition's strategy to entirely restrict the legal avenues available to President Allende, rendering him completely impotent" (Novoa Monreal, 1972, p. 18, translated) The latter was most evident in the public acquisition of the banking system, which resulted in a series of legal disputes at various levels. Thus, it is also a cautionary tale of the stakes involved in this endeavor, raising another set of questions.

For instance, the government's legal strategy was effective in transferring ownership from private entities to public property. In this way, the government reclaimed its ability to mobilize resources through credit, thus modifying the economic structure. The numbers are revealing: the recorded operations of the Central Bank in conjunction with the Treasury indicate that by 1970, it accounted for 55.1% of new money issuance, and by 1973, this figure escalated to 92.1%. Still, the path chosen opened the gates to the lawfare that preceded the coup, not only making the legal nature of monetary governance visible but also producing uncertainty and fear.

On the other hand, the ownership transfer was insufficient to settle the political dispute over credit. In the Chilean case, the need for a regulatory framework that could reorganize and coordinate the credit system in line with the different areas of production may have hindered its long-term purpose from the outset. Alberto Baltra, an economist, former Minister of Economy, and member of the Radical Party, highlights the mismanagement of the newly nationalized banks, as they continued to operate under the same private corporation logic (Baltra, 1974, p. 54).

Finally, it raises questions about the legal nature of monetary arrangements and of the role of law at critical junctures. Many times, the politics involved in the creation of a new economy was disguised as a legal dispute for the meaning of certain canonical institutions: the validity of the civil mandate in the case of CORFO's purchasing procedure, the extension of what constitutes a monopoly or the prerogatives of governmental action in the case of the Antitrust Commission, the rules that govern the lawmaking process in the case of Congress, and the reach of the Constitutional Court's jurisdiction. The legality of the government's actions was constantly tested on every front. The battle over legality was especially intense concerning credit because, rather than being an invisible veil that enables real economic activity, it serves as a core part of the capitalist infrastructure and is a legal

entity. Law is then the chain that either highlights or conceals the relation between money and power.

REFERENCES

AGÜERO, Francisco. *El Tribunal de Defensa de la Libre Competencia como un contencioso-administrativo*: una forma de control judicial de la intervención estatal en la economía. Santiago: Ediciones Der, 2022.

AHUMADA, Jorge. *En vez de la miseria*. Santiago: Editorial del Pacífico, 1958.

ALALUF, David *et al*. El sector agrario en el gobierno de la Unidad Popular. *In*: INSTITUTO DE ECONOMÍA Y PLANIFICACIÓN. La economía chilena en 1971. Santiago: Instituto de Economía y Planificación, Universidad de Chile, 1972.

ALLENDE, Salvador. *Exposición del Presidente Salvador Allende sobre la estatización del sistema bancario [Discurso por radio y televisión]*. [*S.l.*]: Archivo Chile, Centro de Estudios "Miguel Enríquez" (CEME), 30 Dec. 1970.

ARRIAGADA, Genaro. *De la Vía Chilena a la Vía Insurreccional*. Santiago: Editorial del Pacífico, 1974.

BALTRA, Alberto Cortés. *Gestión económica del gobierno de la Unidad Popular.* Santiago: Editorial Orbe, 1974.

BERNANKE, Ben. *Some Thoughts on Monetary Policy in Japan*. Speech delivered at the Japan Society of Monetary Economics, 2003.

BITAR, Sergio. *Transición, socialismo y democracia*. Santiago: Siglo XXI Editores, 1979.

BODEA, Cristina; GARRIGA, Ana Carolina. Central Bank Independence in Latin America: Politicization and De-Delegation. *Governance*, [*s.l.*], v. 36, n. 1, p. 59-80, 2023.

BRUNA CONTRERAS, Guillermo. Vetos a la reforma constitucional: plebiscito y no Tribunal Constitucional. *Revista de Derecho Público*, Santiago, n. 13, p. 197-202, 2014. Available at: https://revistaderechopublico.uchile.cl/index.php/RDPU/article/view/34649. Accessed on: 21 Oct. 2025.

CHILE. Ley N.º 17.450, de 16 julio 1971. Reforma la Constitución Política del Estado. *Diario Oficial de la República de Chile*, Santiago, 16 Jul. 1971. Available at: https://www.bcn.cl/leychile/navegar?idNorma=29026. Accessed on: 21 Oct. 2025.

CHILE. Decreto con Fuerza de Ley N.º 211, de 6 abril 1960. Fija las normas por las que se regirá la Corporación de Fomento de la Producción. *Diario Oficial de la República de Chile*, Santiago, 6 Apr. 1960. [1960a]. Available at: https://www.bcn.cl/leychile/navegar?idNorma=5060. Accessed on: 21 Oct. 2025.

CHILE. Decreto con Fuerza de Ley N.º 247, de 4 abril 1960. Fija el texto definitivo de la Ley Orgánica del Banco Central de Chile. *Diario Oficial de la República de Chile*, Santiago, 4 Apr. 1960. [1960b].

CHILE. Ley N.º 13.305, de 6 abril 1959. Reajusta las remuneraciones de todos los empleados que prestan servicios en Chile, suplementa el presupuesto de la Nación, establece nueva unidad monetaria, concede facultades extraordinarias al Presidente de la República y modifica las leyes que señala. *Diario Oficial de la República de Chile*, Santiago, 6 Apr. 1959. Available at: https://www.bcn.cl/leychile/navegar?idNorma=27399&idVersion=1959-04-06. Accessed on: 21 Oct. 2021.

CHILE. *Ley N.º 12.927, de 6 agosto 1958*. Seguridad Interior del Estado. Available at: https://www.bcn.cl/leychile/navegar?idNorma=27292#:~:text=Ley%2012927%20SEGURIDAD%20INTERIOR%20DEL%20ESTADO&text=La%20sentencia%20condenatoria%20impondrá%252C%20además,y%2030%20del%20Código%20Penal. Accessed on: 21 Oct. 2025.

CHILE. Decreto con Fuerza de Ley N.º 106, de 28 julio 1953. Fija el texto definitivo de la Ley Orgánica del Banco Central de Chile. *Diario Oficial de la República de Chile*, Santiago, 28 Jul. 1953. Available at: https://www.bcn.cl/leychile/navegar?i=4624. Accessed on: 21 Oct. 2021.

CHILE. Ley N.º 6.640, de 10 enero 1941. Aprueba el texto refundido de la Ley N.º 6.334, que creó las Corporaciones de Reconstrucción y Auxilio y de Fomento de la Producción. *Diario Oficial de la República de Chile*, Santiago, 10 Jan. 1941. Available at: https://www.bcn.cl/leychile/navegar?idNorma=25373. Accessed on: 21 Oct. 2025.

CHILE. Decreto Ley N.º 520, de 31 agosto 1932. Crea el Comisariato General de Subsistencias y Precios. *Diario Oficial de la República de Chile*, Santiago, 31 Aug. 1932. Available at: https://www.bcn.cl/leychile/navegar?idNorma=6157. Accessed on: 21 Oct. 2025.

CHILE. [Constitución (1925)]. *Constitución Política de la República de Chile*. Santiago: República de Chile, 18 Sept. 1925. Available at: https://www.bcn.cl/Books/Constitucion_politica_de_Chile_1925/index.html#p=1. Accessed on: 21 Oct. 2025.

COLLYER, Lilian; SINAY, Eliana. Proceso de estatización del sistema bancario. *In*: INSTITUTO DE ECONOMÍA Y PLANIFICACIÓN. *La economía chilena en 1971*. Santiago: Instituto de Economía y Planificación, Universidad de Chile, 1971.

COSSIO, Fernando. Evolución del crédito en 1971. *In*: INSTITUTO DE ECONOMÍA Y PLANIFICACIÓN. *La economía chilena en 1971*. Santiago: Instituto de Economía y Planificación, Universidad de Chile, 1972.

CRUZ-COKE OSSA, Carlos. *Debate sobre despacho de la reforma constitucional*. Santiago, 27 Nov. 1972. Available at: https://revistaderechopublico.uchile.cl/index.php/RDPU/article/view/34636/36339. Accessed on: 21 Oct. 2025.

DEBRAY, Régis. *Conversaciones con Allende*. Mexico: Siglo XXI Editores, 1971.

DESAN, Christine. The Monetary Structure of Economic Activity: A Constitutional Analysis. *Law and Contemporary Problems*, Durham, v. 86, n. 4, 2024.

DESAN, Christine. The Constitutional Approach to Money. Monetary Design and the Production of the Modern World. *In*: BANDELJ, Nina; WHERRY, Frederick F.; ZELIZER, Viviana A. (eds). *Money Talks*: Explaining How Money Really Works. Princeton: Princeton University Press, 2017.

DESAN. Christine. Money as a Legal Institution. *In*: FOX, David; ERNST, Wolfgang (eds.). *Money in the Western Legal Tradition*: Middle Ages to Bretton Woods. Oxford: Oxford University Press, 2016.

DESAN, Christine. *Making Money*: Coin, Currency, and the Coming of Capitalism. Northamptonshire: Oxford University Press, 2014.

DESAN, Christine. Creation Stories: Myths About the Origins of Money. *Harvard Law School*, Public Law & Legal Theory Working Paper Series, n. 13-20, 2013.

DESAN, Christine. From Blood to Profit: Making Money in the Practice and Imagery of Early America. *The Journal of Policy History*, Cambridge, v. 20, n. 1, p. 26-46, 2008.

DE VYLDER, Stefan. *Allende's Chile*: The Political Economy of the Rise and Fall of the Unidad Popular. London: Cambridge University Press, 1976.

DODD, Nigel. *The Sociology of Money*: Economics, Reason and Contemporary. New York: The Continuum Publishing, 1994.

EDWARDS, Sebastian. Inflation and the Corruption of Currency in Latin America: Chile, 1970-1973. *Journal of Policy History*, [*s.l.*], v. 36, n. 4, p. 386-399, 2024. DOI:10.1017/S0898030624000083

ECONOMIC COMMISSION FOR LATIN AMERICA (ECLAC). *ECLAC Thinking*: Selected Texts (1948-1998). United Nations, 2016. Available at: https://www.cepal.org/en/publications/40881-eclac-thinking-selected-texts-1948-1998. Accessed on: 9 Oct. 2025.

EICH, Stefan. *The Currency of Politics*: The Political Theory of Money from Aristotle to Keynes. Princeton: Princeton University Press, 2022.

EL MERCURIO. [*S.t.*]. Santiago: El Mercurio, 20 Feb. 1972. [1972a].

EL MERCURIO. [*S.t.*]. Santiago: El Mercurio, 25 Feb. 1972. [1972b].

EL MERCURIO. [*S.t.*]. Santiago: El Mercurio, 19 Jan. 1971. [1971a].

EL MERCURIO. [*S.t.*]. Santiago: El Mercurio, 4 Sept. 1971. [1971b].

EL MERCURIO. [*S.t.*]. Santiago: El Mercurio, 9 Sept. 1971. [1971c].

EL MERCURIO. [*S.t.*]. Santiago: El Mercurio, 9 Jan. 1971.

EL SIGLO. [*S.t.*]. Santiago: El Siglo, 6 Jan. 1971.

FEICHTNER, Isabel. Public Law's Rationalization of the Legal Architecture of Money: What Might Legal Analysis of Money Become? *German Law Journal*, Oestrich-Winkel, v. 17, n. 5, p. 871-902, 2016.

FEINIG, Jakob. *Moral Economies of Money*: Politics and the Monetary Constitution of Society. California: Stanford University Press, 2022.

FFRENCH-DAVIS, Ricardo. *Políticas económicas en Chile, 1952-1970*. Santiago: Centro de Estudios de Planificación Nacional, 1973.

FRIEDMAN, Milton; FRIEDMAN, Rose. *Free to Choose*: A Personal Statement. New York: Harcourt Brace Jovanovich, 1990.

FRIEDMAN, Milton; FRIEDMAN, Rose. *Free to Choose*: A Personal Statement. New York: Harcourt Brace Jovanovich, 1980.

FUENTEALBA, Renán; HAMILTON, Juan. *Moción de los HH. Senadores señores Fuentealba y Hamilton con la que inician un proyecto de Reforma Constitucional que modifica diversas disposiciones de la Constitución Política del Estado [Proyecto de ley]*. Senado de la República de Chile. Santiago, Chile, 14 Oct. 1971. Available at: http://archivopatricioaylwin.cl/handle/123456789/1410. Accessed on: 21 Oct. 2025.

GIL, Federico Guillermo. *Chile 1970-1973*: lecciones de una experiencia. Madrid: Editorial Tecnos, 1977.

GIL, Federico Guillermo. *The Political System of Chile*. Boston: Houghton Mifflin, 1966.

GONZÁLEZ PINO, Miguel *et al.* (eds.). *Los mil días de Allende*. Santiago: Centro de Estudios Públicos, 1997. (Tomo I.)

GRIFFITH-JONES, Stephany. *The Role of Finance in the Transition to Socialism*. Gran Bretaña: Frances Pinter Publishers Limited, 1981.

GUARDIA, Alexis; MARTÍNEZ, Alberto; RAMOS, Sergio. General Considerations on the Chilean Economic Structure. *In*: SIDERI, Sandro (ed.). *Chile 1970-1973*: Economic Development and Its International Setting. New York: Springer, 1979.

HEISE, Julio. *150 Años de Evolución Institucional*. Santiago: Editorial Andrés Bello, 1996 [1960].

HIRSCHMAN, Albert. *Journeys Toward Progress*. 1963. New York: Anchor Books, 1965 [1963].

INOSTROZA, Alfonso. Nationalization of the Banking System in Chile. *In*: SIDERI, Sandro (ed.). *Chile 1970-1973*: Economic Development and Its International Setting. New York: Springer, 1979. p. 275-312.

JOHNSON, Jerah. The Money = Blood Metaphor, 1300 – 1800. *The Journal of Finance*, Bethlehem, v. 21, n. 1, p. 119-122, Mar. 1966.

KREITNER, Roy. Legal History of Money. *Annual Review of Law and Social Science*, Palo Alto, v. 8, p. 415-431, 2012.

LAGOS MATUS, Gustavo. Carta del Prof. Gustavo Lagos sobre alcances de la reforma constitucional de 23 de enero de 1970. *Revista de Derecho Público*, n. 13, p. 216-222, 2014. Available at: https://revistaderechopublico.uchile.cl/index.php/RDPU/article/view/34664. Accessed on: 21 Oct. 2025.

LA TERCERA DE LA HORA. [*S.t.*]. Santiago: La Tercera de la Hora, Feb. 1971.

LECHNER, Norbert. Los patios interiores de la democracia (1988). *In*: SEMO, Ilán *et al.* (eds.) *Norbert Lechner*: obras. Mexico City: FLACSO, FCE, 2013. p. 23-43. (Tomo III: Democracía y Utopía: La tensión permanente.)

LECHNER, Norbert. La problemática actual del Estado y el Derecho en Chile. *Cuadernos de la Realidad Nacional*, Santiago, n. 15, Dec. 1972. Available at: https://cedam.cl/manuel-antonio-garreton/cuadernos-de-la-realidad-nacional-no-15/. Accessed on: 10 Oct. 2025.

LEIVA, Jorge; GUTIÉRREZ, Alejandro. Consideraciones acerca de la estatización de la banca. *Revista Mensaje*, Santiago, v. 197, Mar./Apr. 1971.

LUCAS, Robert E. Nobel Lecture: Monetary Neutrality. *Journal of Political Economy*, Chicago, v. 104, n. 4, p. 661-682, 1996.

MAMALAKIS, Markos. *The Growth and Structure of the Chilean Economy*: From Independence to Allende. New Haven; London: Yale University Press, 1976.

MARTNER, Gonzalo. América Latina dentro del orden económico mundial. *Estudios Internacionales*, Santiago, v. 17, n. 68, p. 420-440, 1984.

MONNET, Éric. *Balance of Power*: Central Banks and the Fate of Democracies. Translated by Steven Rendall. Chicago: University of Chicago Press, 2024.

MOSCHELLA, Manuela. *Unexpected Revolutionaries*: How Central Banks Made and Unmade Economic Orthodoxy. Ithaca and London: Cornell University Press, 2024.

MOSS, Robert. *Chile's Marxist Experiment*. Newton Abbot: David & Charles, 1973.

MOUDUD, Jamee K. Analyzing the Constitutional Theory of Money: Governance, Power, and Instability. *Leiden Journal of International Law*, The Hage, v. 31, n. 2, p. 289-314, 2018.

NOVOA MONREAL, Eduardo. *¿Vía legal hacia el socialismo?* El Caso de Chile 1970-1973. Caracas: Editorial Jurídica de Venezuela, 1978.

NOVOA MONREAL, Eduardo. El difícil camino de la legalidad. *Revista de la Universidad Técnica del Estado*, Santiago, n. 7, Mar. 1972. Available at: https://ideario25.wordpress.com/wp-content/uploads/2020/06/eduardo-novoa-monreal.-el-dificil-camino-de-la-legalidad.pdf. Accessed on: 21 Oct. 2025.

NOVOA MONREAL, Eduardo. Vías legales para avanzar al socialismo. *Revista de Derecho Económico*, Santiago, v. 33-34, p. 27-40, 1971.

NOVOA MONREAL, Eduardo. Justicia de clase. *Revista Mensaje*, Santiago, n. 187, 1970.

OBSERVACIONES DEL EJECUTIVO AL PROYECTO DE REFORMA CONSTITUCIONAL. Oficio Nº 298, de 6 de abril de 1972. *Revista de Derecho Público*, Universidad de Chile, Santiago, 1972. Available at: https://revistaderechopublico.uchile.cl/index.php/RDPU/article/download/34667/36370/118762. Accessed on: 21 Oct. 2025.

PINTO, Aníbal. *Inflación*: raíces estructurales. Ensayos de Aníbal Pinto. México: Fondo de Cultura Económica, 1973.

PINTO, Aníbal. *Chile*: un caso de desarrollo frustrado. Santiago: Editorial Universitaria, 1959.

PISTOR, Katharina. *The Code of Capital*: How the Law Creates Wealth and Inequality. Princeton: Princeton University Press, 2019.

PISTOR, Katharina. Law in Finance. *Journal of Comparative Economics*, [*s.l.*], v. 41, n. 2, p. 311-314, Mar. 2013.

PROGRAMA BASICO del Gobierno de la Unidad Popular: Candidatura Presidencial de Salvador Allende. Santiago: Biblioteca Nacional de Chile, 1969. Available at: https://www.bibliotecanacionaldigital.gob.cl/visor/BND:7738. Accessed on: 21 Oct. 2025.

REVISTA DE DERECHO PÚBLICO. *Seminario de Derecho Público*, Santiago, n. 13, 1972. Available at: https://revistaderechopublico.uchile.cl/index.php/RDPU/issue/view/3603.

RICKS, Morgan. Money as Infrastructure. *Columbia Business Law Review*, New York, n. 3, p. 757-839, 2018.

RODRÍGUEZ ELIZONDO, José. Introducción. *In*: CORPORACIÓN DE FOMENTO DE LA PRODUCCIÓN. *La estatización de la banca*. [*S.l.*]: [*s.n.*], 1971.

RODRÍGUEZ WEBER, Javier E. *Desarrollo y Desigualdad en Chile (1850-2009)*: Historia de su Economía Política. Santiago: Ediciones de la Dirección de Bibliotecas, Archivos y Museos; Centro de Investigaciones Barros Arana, 2017.

RUIZ-TAGLE, Pablo. *Five Republics and One Tradition*: A History of Constitutionalism in Chile, 1810–2020. New York: Cambridge University Press, 2021.

SEERS, Dudley. Chile: ¿Is the Road to Socialism Blocked? *The World Today*, [*s.l.*], v. 28, n. 5, 1972.

TRIBUNAL CONSTITUCIONAL DE CHILE. *Jurisprudencia constitucional 1971-1973*: sentencias pronunciadas entre 1972 y 1973, roles nos 1-17. Santiago: Tribunal Constitucional, Dec. 2014. Available at: https://www2.tribunalconstitucional.cl/wp-content/uploads/2022/03/Tomo-1971-1973.pdf. Accesed on: 20 Nov. 2025.

VON BRUNN, Reinhard. Chile: *¿Con leyes tradicionales hacia una nueva economía?* Santiago: ILDIS, 1972.

Paula Ahumada Franco

Doctor of Laws at Universidad de Chile. LL.M. at Duke University. Assistant Professor of Universidad de Chile School of Law.

paulaahumada@derecho.uchile.cl